Edexcel A Level Business

Your notes

3.2 Business Growth

Contents

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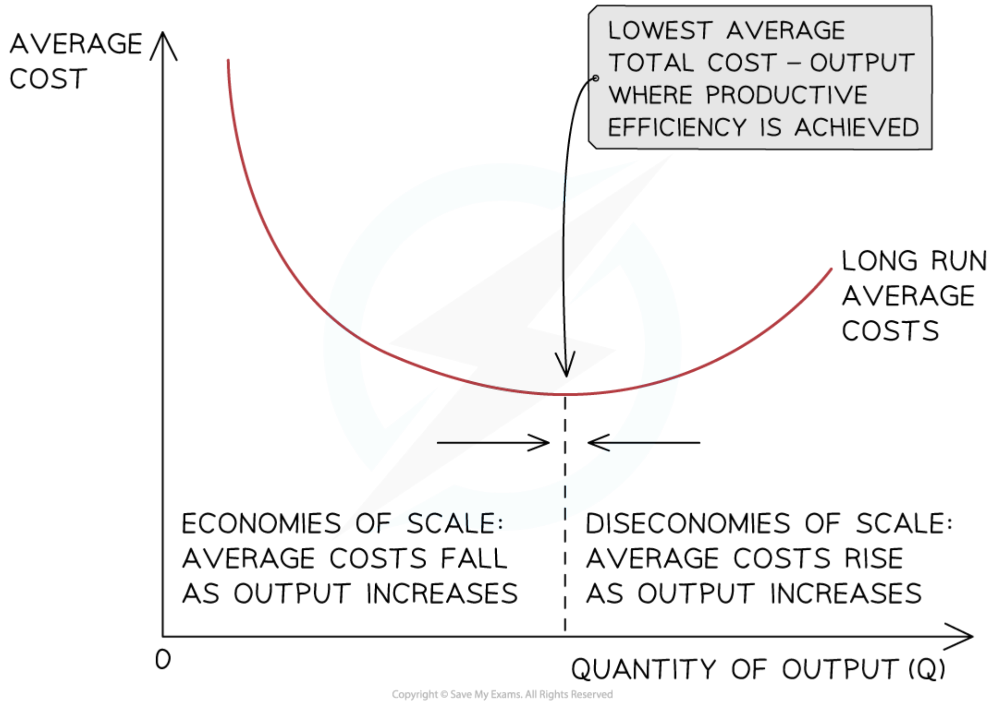
Reasons to grow

- Businesses grow to achieve a range of key objectives



Economies of scale occur when average costs decrease with increasing output, and diseconomies of scale occur when average costs increase with increasing output

1. Economies of scale

- **Internal economies of scale**
  - As a business grows, it can reduce its average costs
  - For example, it may be able to buy supplies in bulk or invest in more efficient machinery
- **External economies of scale**
  - These are benefits that come from being part of a growing industry, such as better infrastructure or access to a skilled workforce

2. Increased market power

- A larger business may have more control over customers and suppliers
- It can influence prices or force suppliers to offer better terms, such as longer trade credit periods

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3. Increased market share and brand recognition

- Growth allows a firm to reach more customers and become better known
  - This can lead to higher sales and increased customer loyalty
- Increased brand recognition can help further growth, as customers are familiar with and trust the brand

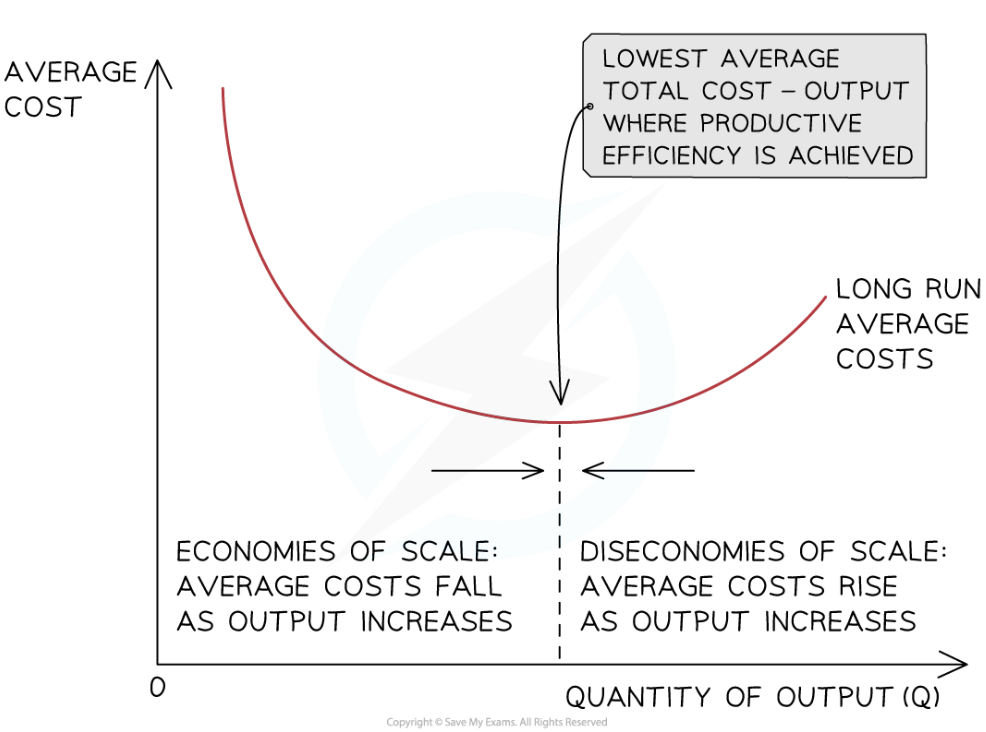
4. Increased profitability

- Profitability is a measure of **how efficiently** a company generates profit relative to its revenue or investment
  - As a firm grows, it may be able to generate more revenue while controlling costs, boosting profitability

Explaining economies of scale

- As a business grows, it can increase its **scale of output**, generating efficiencies that lower its **average costs** of production
  - These efficiencies are called **economies of scale**
  - Economies of scale help large firms to **lower their costs of production** beyond what small firms can achieve
- As a firm continues increasing its **scale of output**, it will reach a point where its **average costs (AC)** will start to **increase**
  - The reasons for the increase in the average costs are called **diseconomies of scale**
- **Internal economies of scale** occur as a result of the growth in the scale of production **within** the firm

Economies of scale



Economies of scale occur when average costs decrease with increasing output, and diseconomies of scale occur when average costs increase with increasing output

Diagram analysis

- With relatively low levels of output, average costs are high
- As the business increases its output, it begins to benefit from **economies of scale**, which lower the average cost per unit
- At some level of output, a business will **not be able to reduce costs** any further — this point is called **productive efficiency**
- Beyond this level of output, the average costs will begin to rise as a result of **diseconomies of scale**

Types of internal and external economies

Internal economies of scale

- **Internal economies of scale** occur as a result of the growth in the scale of production **within the business**
  - The firm can benefit from lower **average costs** generated by factors **that are inside the business**

Types of internal economies of scale

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Type	Explanation
Financial economies	▪ Large firms often receive lower interest rates on loans than smaller firms, as they are perceived as less risky ▪ A cheaper loan **lowers the cost per unit**
Managerial economies	▪ Occur when large firms can employ **specialist managers** who are more efficient at certain tasks, and this efficiency lowers the average costs ▪ Managers in small firms often have to fulfil multiple roles and are less specialised
Marketing economies	▪ Large firms **spread the cost of advertising** over a large number of sales, and this reduces average costs ▪ Firms can also reuse marketing materials in different geographic regions, which further lowers average costs
Purchasing economies	▪ Occur when large firms buy raw materials in greater volumes and receive a **bulk purchase discount**, which lowers average costs
Technical economies	▪ Occur as a firm can use its machinery at a higher level of capacity due to the increased output ▪ This **spreads the cost of the machinery** over more units, lowering average costs
Risk-bearing economies	▪ Occur when a firm can spread the risk of failure by **diversifying its product range** ▪ A lower incidence of failure can reduce average costs

External economies of scale

- **External economies of scale** occur when there is an increase in the size of the industry in which the firm operates
    - The firm benefits from lower **average costs** generated by factors **outside of the business**

Sources of external economies of scale

Source	Explanation

Geographic cluster	▪ As an industry grows, **ancillary firms** move closer to major manufacturers to cut costs and generate more business ▪ E.g. car manufacturers in Sunderland rely on the service of over 2,500 ancillary firms
Transport links	▪ **Improved transport links** develop around growing industries to help get people to work and improve the transport logistics ▪ E.g. Bangalore, India's Silicon Valley, has benefitted from large transportation projects that have transformed the movement of people and goods in the region
Skilled labour	▪ An increase in skilled labour can **lower the cost of skilled labour**, thereby lowering average costs ▪ The larger the geographic cluster, the larger the pool of skilled labour
Favourable legislation	▪ Changes to laws affecting businesses can generate significant reductions in average costs ▪ Governments support certain industries to **achieve important economic objectives**

Problems arising from growth

- Rapid business growth may create challenges that can negatively impact a company's **operations and financial performance**
- Three of these challenges are diseconomies of scale, internal communication issues and overtrading

1. Diseconomies of scale

- This occurs when a company **grows too large**, making it difficult to manage and control its operations
- It may face challenges in coordinating its various departments, managing its workforce or maintaining quality control
- The cost per unit **ends up increasing** as a result of these inefficiencies

2. Internal communication

- Rapid growth may strain communication channels or result in miscommunication, causing conflicting priorities and a lack of coordination
- This may result in delays, errors and missed opportunities, as well as impact employee morale

3. Overtrading

- This occurs when a company **takes on more business than it can handle**, leading to a strain on its resources or an inability to meet its financial obligations (lack of liquidity)
- This may cause **cash flow problems** or decreased customer satisfaction
  - E.g. a company that expands too quickly may **struggle to hire and train enough staff** to handle increased demand, leading to a backlog of orders and dissatisfied customers

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Reasons for mergers and takeovers

- Firms often grow **organically** to the point where they are in a financial position to **integrate** with others
- Merging with or taking over other businesses results in rapid business growth and is referred to as **inorganic growth**
  - **A merger** occurs when two or more companies combine **to form a new company**
    - The original companies cease to exist, and their assets and liabilities are transferred to the newly created entity
  - **A takeover** occurs when **one company purchases another company**, often against its will
    - The acquiring company **buys a controlling stake in the target firm's shares** (more than 50%) and gains control of its operations

Why firms integrate with others

- **Strategic fit**
  - A company may acquire another company to expand into new markets, diversify its product offerings or gain access to new technology
    - E.g. in 2010, Kraft Foods purchased Cadbury's to increase its product offering and expand business sales in the UK
- **Economies of scale**
  - Growth creates economies of scale
    - Consolidation of two or more businesses typically **reduces costs** and **increases efficiency**
- **Synergies**
  - Synergies are the **benefits** that result from the combination of two or more companies, such as increased revenue, cost savings or improved product range
- **Elimination of competition**
  - Takeovers are often used to eliminate competition, and the acquiring company **increases its market share**
    - E.g. Meta, the parent company of Facebook, purchased WhatsApp in 2014, as it was a major competitor of its own Facebook Messenger
- **Shareholder value**
  - Mergers and takeovers can also be used to create value for shareholders

- By combining companies, shareholders can benefit from increased profits, **dividends** and share prices

Types of integration

Horizontal integration

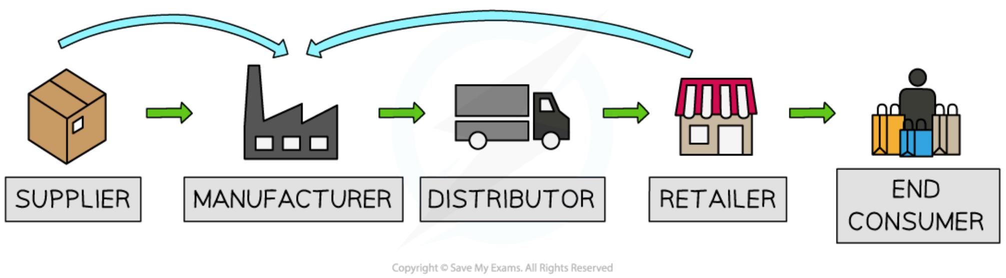
- A merger or takeover of a firm at the same stage of the production process
  - E.g. an ice cream manufacturer takes over another ice cream manufacturer

Evaluating horizontal integration

Advantages	Disadvantages
• A rapid increase in **market share** • Reductions in the cost per unit due to **economies of scale** • Reduces competition • Existing knowledge of the industry means the merger is more likely to be successful • The firm may gain new **knowledge** or **expertise**	• **Diseconomies of scale** may occur as costs increase, e.g. unnecessary duplication of production facilities • If the integration leads to a reduction of competition, **regulators may investigate** the merger or block it

Vertical integration

- A merger or takeover of another firm in the supply chain or different stage of the production process
  - E.g. an ice cream manufacturer merges with a dairy farm



A diagram that illustrates how a firm can grow through forward or backward vertical integration

- **Forward vertical integration** involves a merger or takeover with a firm further forward in the supply chain
  - E.g. a dairy farmer merges with an ice cream manufacturer

- **Backwards vertical integration** involves a merger or takeover with a firm further backwards in the supply chain
  - E.g. an ice cream retailer takes over an ice cream manufacturer

Evaluating vertical integration

Advantages	Disadvantages
▪ Reduces the **cost of production** as middleman profits are eliminated ▪ Lower costs make the firm more **competitive** ▪ Greater control over the supply chain **reduces risk**, as access to raw materials is more certain ▪ The **quality of raw materials** can be controlled ▪ Forward integration adds **additional profit**, as profits from the next stage of production are assimilated ▪ Forward integration can increase **brand visibility**	▪ **Diseconomies of scale** occur as costs increase, e.g. as a result of unnecessary duplication of management roles ▪ There can be a **culture clash** between the two firms that have merged ▪ Possibly, **a lack of expertise** in running the new firm results in **inefficiencies** ▪ The price paid for the new firm may take a long time to recoup

The financial risks and rewards of mergers and takeovers

- Inorganic growth carries both risks and rewards for a business

Financial risks and rewards of inorganic growth

Financial risks	Financial rewards

▪ **Overpayment**
  ▪ If the acquiring company pays too much for the target company, it may not be able to recoup the investment through increased revenue or cost savings
	▪ **Increased market share**
	  ▪ By acquiring another company, an increase in market share may lead to increased **sales revenue** and **profitability**

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▪ **Integration challenges** ▪ Integrating two companies can be complex and costly ▪ There are likely to be disruptions to operations and a loss of key staff	▪ **Synergy** ▪ Mergers may result in **cost savings** through the elimination of duplicate functions and increased efficiency
▪ **Cultural differences** ▪ Mergers and takeovers can result in clashes of company cultures, impacting productivity	▪ **Diversification** ▪ Selling a wider variety of goods and services reduces the risks associated with selling a single product
▪ **Opposition** ▪ Mergers and takeovers may face opposition from regulators or other stakeholders, such as shareholders	▪ **Access to new markets** ▪ Acquiring a company with a strong presence in a new market increases the customer base and sales revenue
▪ **Debt** ▪ Acquiring companies may take on debt to finance the integration, which can increase financial risk and reduce flexibility	▪ **Increased value** ▪ Mergers may increase the overall value of the combined company, benefitting shareholders

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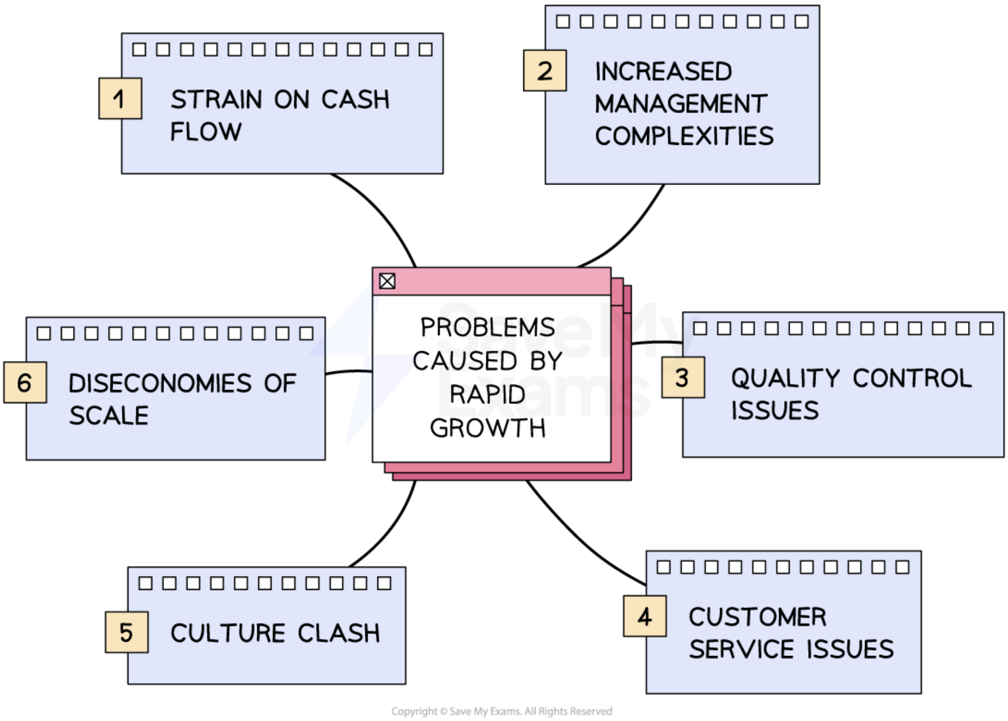
Problems of rapid growth

- Inorganic growth often increases the size of the business significantly in a **very short period of time**
- This rapid growth can bring success, but if not managed well, it can lead to financial pressure, lower quality, unhappy customers and internal conflict
- Businesses must plan growth carefully to avoid these issues

Problems caused by rapid growth



Problems caused by rapid and inorganic growth include culture clash and diseconomies of scale

1. Strain on cash flow

- Rapid growth often means higher spending before extra revenue comes in
- A business may need to:
  - Hire more staff
  - Invest in stock and equipment
  - Open new locations
- This puts pressure on cash flow
  - If the business doesn't have enough working capital, it may struggle to pay suppliers or wages on time

2. Increased management complexities

- As a business grows, operations become harder to control
- Managers might:
  - Be given too many tasks
  - Lose track of team performance
  - Struggle to make decisions quickly
- This can lower productivity and delay key actions

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- E.g. a technology company that suddenly triples in size may find that decision-making slows down and projects are delayed

3. Quality control issues

- When a business expands quickly, its existing systems may not be able to cope
- This can lead to:
  - Mistakes in production
  - Poor-quality products
  - Inconsistent service
- E.g. a bakery that rushes to open new branches may find its cakes vary in quality between stores

4. Customer service issues

- With more customers and not enough trained staff, service levels can fall
- Problems might include:
  - Longer waiting times
  - Missed orders
  - Poor communication
- E.g. an online retailer experiencing a sudden surge in orders may send out the wrong products or delay responses to customer complaints

5. Culture clash

- If growth happens through mergers or takeovers, employees from different businesses may have different ways of working
- This can cause:
  - Disagreements
  - Lower morale
  - Poor teamwork
- E.g. if a relaxed, creative business merges with a more hierarchical, corporate one, staff may feel uncomfortable or confused about expectations

6. Diseconomies of scale

- When a business becomes too large, average costs can rise
- This is often due to:
  - Poor communication
  - Slow decision-making
  - Loss of motivation

- Detailed revision notes on diseconomies of scale are here

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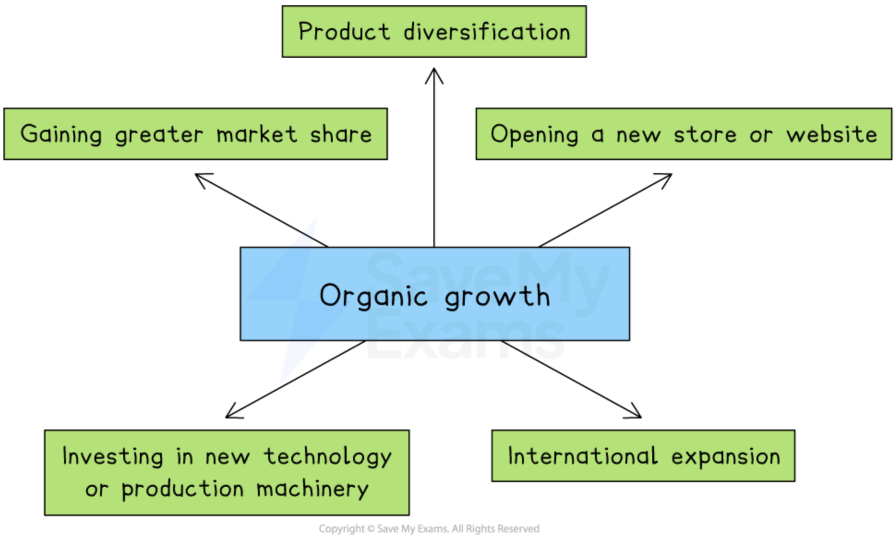
Organic business growth

- Organic growth is growth that is **driven by internal expansion** using reinvested profits or loans



Organic growth may be achieved through product diversification, opening new physical or online stores, or expanding internationally

Types of organic growth

Gaining greater market share

- By attracting more customers from competitors or increasing sales to existing customers, a business can grow its revenue without merging or acquiring another firm
  - E.g. **Aldi** has gained UK market share by offering low prices and expanding its product range

Product diversification

- Launching new products allows a business to target new customer needs, increase sales and reduce reliance on just one product
  - E.g. **Innocent** has moved from smoothies into fruit juices and snacks

Opening a new physical or online store

- Expanding the number of physical locations helps a business reach more customers and grow sales in new areas
  - E.g. **Greggs** has opened new outlets across the UK high street and within travel hubs such as railway stations

- Launching an online store helps a business reach more customers and grow sales in new areas or through new channels
    - E.g. **Primark** launched its online click-and-collect service to reach more customers while keeping its focus on physical stores

International expansion

- Selling products in other countries allows a business to access larger markets and benefit from new customer bases
    - E.g. WH Smith has expanded into airport locations worldwide whilst reducing its presence on UK high streets

Investing in new technology or production machinery

- Improving production efficiency can increase output and reduce costs, allowing a business to meet rising demand and grow
    - E.g. **Jaguar Land Rover** invested in robotics and automation at its Solihull factory to boost production of electric and hybrid vehicles, helping it grow in the fast-changing automotive market

Evaluating organic growth

Advantages	Disadvantages
▪ **Lower risk** ▪ Growth is steady and controlled by using existing resources, which reduces the chances of overexpansion or failure ▪ **Keeps the company culture** ▪ The business expands using its own staff and systems, avoiding the risk of culture clashes that often happen with mergers or takeovers ▪ **Retains full ownership** ▪ Original owners or shareholders keep full control, as there's no need to share decision-making with another company ▪ **Easier to finance** ▪ Organic growth can often be funded through retained profits or small loans, without the need for large external investment	▪ **Slow growth** ▪ Organic growth takes time, which may be too slow in fast-moving markets or when competitors are expanding quickly ▪ **Risk of missed opportunities** ▪ The business may miss out on acquiring rivals, accessing new technologies or having fast access to new markets ▪ **Limited resources** ▪ Growth depends on what the business can afford or manage, so it may be restricted by cash flow, staffing or capacity ▪ **Over-reliance on the existing market** ▪ If a business grows by doing more of the same, it may become too dependent on one market or product, which is especially risky if trends change

- **Builds on existing strengths** - Businesses can focus on what they already do well — for example, opening more stores in areas where the stores are already popular	

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Small business survival in competitive markets

- Many firms start small and grow into large companies or even **multinational corporations**
  - For example, **Amazon's** founders started the business in a garage
- While many firms grow, others do not, or they **intentionally choose to remain small** but are **successful for a range of reasons**

Product differentiation and unique selling points

- Small firms often **offer something unique** that larger businesses cannot easily copy
  - A **unique selling point (USP)** helps a business stand out in a crowded market
  - Products might be handmade, locally sourced or tailored to a niche audience
    - E.g. a small chocolate company selling luxury vegan truffles that aren't available in supermarkets

Flexibility in responding to customer needs

- Small firms can **adapt quickly** because they have fewer layers of decision-making
  - They can change product features, pricing or delivery methods with ease
  - They may be more likely to experiment with new ideas or react to trends faster than bigger firms
    - E.g. a local café may switch to oat milk or offer gluten-free cakes based on regular customer requests

Customer service

- With fewer customers, small firms can **build close relationships** with customers and offer a **personal experience**
  - Customers may value being recognised and listened to
  - Good service often leads to word-of-mouth promotion and repeat business
    - E.g. a hairdresser who remembers each client's style preferences and offers appointments outside regular hours

E-commerce

- The internet allows small firms to **reach national or global markets** without needing lots of money
  - These firms can sell through platforms such as Etsy or their own website

- E-commerce lowers costs by removing the need for a physical shop
    - E.g. a jewellery maker selling handmade earrings through Instagram and shipping across the UK

Owners' objectives

- Some small firms exist because their owners do not aim for rapid growth or maximum profit
    - They may focus on achieving **work-life balance** or doing something they enjoy
    - This is known as **satisficing**, which is aiming for enough profit to live comfortably rather than the highest possible return
    - Many small businesses are lifestyle businesses, set up to suit personal goals rather than pursue aggressive expansion
        - E.g. a self-employed graphic designer working from home who chooses projects they enjoy and sets their own hours

Case Study

Choosing to stay small — The Cornish Scent Company

- The Cornish Scent Company produces handmade scented candles and toiletries using natural ingredients, building a loyal customer base through local markets

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and its own website

Why the business chose to remain small

- **Product differentiation and USPs**
  - Each product is handmade using locally sourced ingredients
  - Scents such as "Cornish Sea Breeze" and "Clotted Cream and Honey" reflect the region's identity
  - The small-batch process and unique branding help the company stand out from mass-produced competitors
- **Customer service**
  - The owners personally handle most customer interactions
  - This personal touch — such as handwritten thank-you notes — has helped build strong customer loyalty and excellent reviews online
- **Owners' objectives**
  - The owners, a husband-and-wife team, started the business to pursue better work-life balance after moving away from busy city jobs
  - They prioritise family time and creative control over high profits, showing clear **satisficing** behaviour
- **E-commerce**
  - Rather than opening a shop, they sell online through their website and Etsy
  - This keeps overheads low and allows them to reach customers across the UK without growing the business too quickly

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